

HUMAN ENERGY ECONOMICS (HEE)

A Theory of Organizational Capacity and Sustainable Execution

The science of stopping organizational drain.

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FRAMEWORK HIGHLIGHTS

1. THE HEE IDENTITY

Element	HEE
Framework	Human Energy Economics (HEE)
Position	A conceptual management theory and economic lens
Primary concern	Organizational capacity and its sustainable use
Central resource	Human Energy
Core distinction	Capability = Potential. Capacity = Ability to mobilize and apply potential.
Core problem	Capacity that is depleted, constrained, disconnected, consumed unnecessarily, or prevented from becoming effective application
Core question	What limits application?
Core outcome	Sustainable Execution Capacity
Ultimate outcome	Sustainable Business Value
Strategic principle	Extraction depletes. Cultivation compounds.

HEE examines how organizations convert available:

Human Energy + Capability + Connection + Decision Quality + Organizational Enablement

into:

Effective Application → Execution → Sustainable Execution Capacity → Sustainable Business Value

2. HEE IN ONE SENTENCE

Human Energy Economics explains how organizations can preserve, mobilize, and expand the capacity required to convert available Human Energy and capability into effective application, sustained execution, and sustainable business value.

3. HEE DISTINCTION

Traditional management frequently emphasizes:

Resources → Activity → Output

HEE examines:

Capacity → Application → Execution → Future Capacity → Value

The distinction is important:

HEE does not ask only how much an organization can produce. It asks whether the organization can continue producing valuable outcomes without unnecessarily degrading the capacity required to do so.

4. FOUNDATIONAL DISTINCTIONS

HEE depends on several distinctions:

Concept	HEE meaning
Human Capital	Capability embodied in people
Human Energy	Human capacity available to mobilize and apply capability
Organizational Capacity	Organizational ability and means to mobilize, coordinate, enable, and sustain action

Concept	HEE meaning
Capability	Potential
Capacity	Ability to mobilize and apply potential
Application	Capability/capacity brought into purposeful action
Execution	Application producing intended results
Sustained Execution	Results repeatedly produced without unnecessarily degrading future capacity
Sustainable Execution Capacity	Future ability/readiness to continue effective execution
Sustainable Business Value	Value created and sustained through repeated effective execution

Therefore:

Human Capital $\neq$ Human Energy $\neq$ Organizational Capacity

Capability $\neq$ Capacity

Capability = Potential

Capacity = Ability to mobilize and apply potential

Application $\neq$ Execution

Execution $\neq$ Sustainable Execution Capacity

5. HEE QUESTION TRANSFORMATION

HEE changes the fundamental management question.

From:

How do we get more output from the organization?

To:

What determines the organization's ability to produce valuable outcomes repeatedly without unnecessarily degrading the capacity required to do so?

And, at the operational level:

What limits the organization's ability to convert available capability and capacity into effective application and sustained execution?

Conventional Management → HEE

Conventional Question	HEE Question Transformation
How do we increase output?	What limits our ability to produce valuable outcomes sustainably?
How do we get more from our people?	What conditions allow available Human Energy and capability to become effective application?
How do we make people more productive?	What limits their ability to apply capability effectively?
How do we improve productivity?	What is limiting sustainable execution capacity?
How do we fix underperformance?	What prevents effective application and execution?
How do we increase capacity?	What is consuming, constraining, or preventing usable capacity?
How do we develop capability?	Is capability actually connected, enabled, and applied?
How do we improve collaboration?	What prevents distributed capability from working together effectively?
How do we reduce burnout?	What conditions are unnecessarily depleting Human Energy?
How do we improve execution?	What limits the conversion of capability and capacity into execution?
How do we improve customer experience?	What internal conditions may be creating customer friction?
How do we sustain performance?	What preserves the capacity required for repeated execution?

The HEE transformation in simplest form

From extracting more → to enabling more

From activity → to application

From current output → to sustainable execution

From resource consumption → to capacity economics

From fixing symptoms → to understanding constraints

6. CORE / CRITICAL PRINCIPLES

Principle 1 — Capability is Potential

Knowledge, skill, expertise, and experience represent potential.

Knowledge alone is potential. Applied knowledge is power.

Principle 2 — Capacity Enables Application

Capability cannot create value merely by existing.

It must be mobilized, connected, enabled, and applied.

Principle 3 — Human Energy Is an Economic Resource

Human Energy is not simply an employee-wellbeing concept.

Its availability affects the organization's ability to mobilize capability and sustain execution.

Principle 4 — Application Is the Conversion Point

The organization does not create value merely because it possesses capability.

Value requires:

Capability → Application → Execution → Outcome

Principle 5 — Conditions Matter

Human Energy and capability do not operate in isolation.

Connection, Decision Quality, Enablement, demand, and other organizational conditions affect application.

Principle 6 — Extraction Depletes. Cultivation Compounds.

Short-term output achieved through unnecessary depletion may weaken future execution capacity.

Principle 7 — Sustainable Execution Matters More Than Isolated Output

A result that cannot be repeated without degrading future capacity is not the same as sustainable execution.

Principle 8 — Protect Capacity Required for Future Value

Organizations should be managed not only for today's output, but for tomorrow's ability to produce output.

Principle 9 — Diagnose Before Intervening

Do not automatically treat every performance problem as a capability problem, capacity problem, energy problem, or execution problem.

Principle 10 — Fix the Limiting Condition

Do not automatically fix the largest gap. Fix the condition that most limits sustainable execution.

Principle 11 — Capacity Is Not Value

Released or recovered capacity becomes economically meaningful only when it is effectively applied and contributes to outcomes.

Principle 12 — External Outcomes Matter

Internal capacity conditions matter because they influence the organization's ability to deliver intended outcomes to employees, customers, users, and other stakeholders.

7. THE SIX CONDITIONS OF EXECUTION

HEE recognizes six important execution conditions:

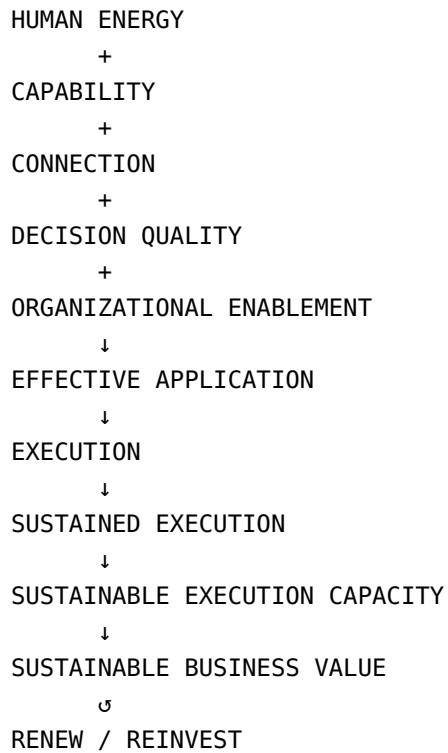
Demand · Human Energy · Capability · Connection · Decision Quality · Enablement

Condition	Core question
Demand	What volume, intensity, complexity, interruption, or competing requirements are placed on capacity?
Human Energy	Is sufficient human capacity available to mobilize and sustain action?
Capability	Does the required knowledge, skill, judgment, or expertise exist?
Connection	Can distributed capabilities work together effectively?
Decision Quality	Are decisions timely, sufficiently informed, appropriately authorized, and fit for circumstances?
Enablement	Do organizational conditions permit capable people to act effectively?

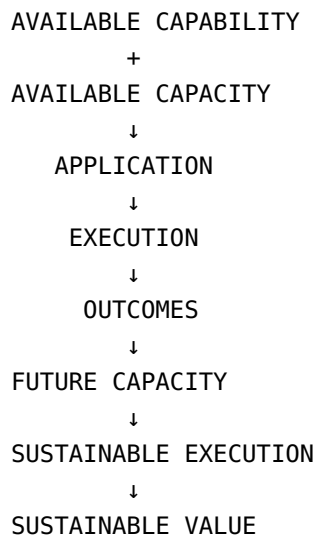
These conditions should not automatically be treated as independent root causes.

Decision Quality, for example, may function as a mediator or emergent condition influenced by information, capability, authority, connection, demand, and enablement.

8. THE HEE CENTRAL LOGIC



The broader economic logic is:



9. THE HEE CONVERSION LOGIC

HEE is fundamentally concerned with **conversion**.

The organization may possess:

- knowledge
- skills
- experience
- technology
- resources
- Human Capital
- Human Energy
- organizational capability

Yet these inputs do not automatically become results.

Conversion chain

Potential → Capacity → Application → Execution → Outcome → Future Capacity → Value

The critical question is therefore:

What prevents available potential and capacity from becoming effective application?

10. CAPABILITY ≠ CAPACITY

This is a foundational HEE distinction.

Capability

Potential

A person, team, or organization may possess knowledge, skills, expertise, experience, or technical ability.

Capacity

Ability to mobilize and apply that potential under actual conditions.

Therefore:

Capability without capacity remains potential.

And:

Capacity without capability may provide availability without sufficient means to act effectively.

HEE therefore avoids assuming that increasing capability automatically increases organizational performance.

11. HUMAN CAPITAL ≠ HUMAN ENERGY

Human Capital

What people **know and can potentially do**.

Human Energy

The **available human capacity to mobilize and apply what they can do**.

Thus:

Human Capital → Capability

while:

Human Energy → Available capacity for mobilization and application

Human Capital does not automatically become Human Energy.

Human Energy does not automatically produce effective application.

The conversion depends on organizational conditions.

12. HUMAN ENERGY AS AN ECONOMIC RESOURCE

HEE treats Human Energy as an economic resource because organizational outcomes depend partly on the organization's ability to mobilize human capacity repeatedly.

Human Energy can be:

- available
- consumed
- depleted
- protected
- recovered

- redirected
- constrained
- renewed

The economic concern is not simply:

How much effort can people give?

It is:

How can organizations obtain valuable outcomes without unnecessarily consuming the capacity required to produce future outcomes?

13. ORGANIZATIONAL CAPACITY

Organizational Capacity is broader than Human Energy.

It includes the organization's ability and means to:

- mobilize capability
- coordinate work
- make decisions
- connect distributed expertise
- provide information
- authorize action
- enable execution
- absorb complexity
- sustain operating performance
- adapt to changing conditions

Therefore:

Human Energy is a component of the capacity system.

It is not synonymous with total Organizational Capacity.

14. ORGANIZATIONAL FRAGMENTATION

As organizations grow, they often accumulate:

- functions
- systems
- decisions

- dependencies
- interfaces
- handoffs
- coordination requirements
- information requirements
- competing priorities

Growth can therefore increase interconnectedness without improving connection.

An organization may not have become less capable. It may have become more interconnected without becoming better connected.

This can contribute to:

Operational Noise + Disconnected Capability

which may contribute to:

Human Energy Loss + Application Constraints

and ultimately:

Execution Degradation + Customer Friction + Value Loss

This is a diagnostic narrative/hypothesis, not a universal causal law.

15. THE HEE DIAGNOSTIC ARCHITECTURE

HEE distinguishes five primary conditions:

Condition	Meaning	Typical response
Depletion	Available Human Energy is reduced or unnecessarily consumed	Recover
Deficiency	Required capability is missing	Develop
Disconnection	Existing capability cannot work together effectively	Connect
Constraint	Organizational conditions prevent application	Enable
Conversion Failure	Inputs appear sufficiently available but fail to become effective application	Investigate

Important diagnostic rule

Conversion Failure is not the first explanation.

It becomes a stronger diagnostic hypothesis after depletion, deficiency, disconnection, and relevant constraints have been reasonably examined.

16. DIAGNOSTIC QUESTIONS

HEE diagnosis asks:

Energy

- Is Human Energy sufficiently available?
- Where is it being consumed unnecessarily?
- Is depletion temporary, recurring, or structural?

Capability

- Does the required capability exist?
- Is it accessible?
- Is it sufficiently developed?

Connection

- Can the right capabilities find and work with one another?
- Are interfaces creating friction?
- Are handoffs, silos, or dependencies blocking application?

Decision Quality

- Are decisions timely?
- Is relevant information available?
- Is authority appropriately configured?
- Is decision quality being degraded by demand, uncertainty, or fragmentation?

Enablement

- Can capable people act?
- Are systems, policies, processes, information, authority, and resources enabling action?

Execution

- Is intended application actually producing results?
- What constraint is preventing execution?
- Is the problem recurring?

Future Capacity

- Is today's execution weakening tomorrow's capacity?

17. HEE DIAGNOSTIC CARD

Signal	Possible condition	Initial response
Persistent depletion	Depletion	Recover
Missing knowledge or skill	Deficiency	Develop
Capable people working poorly together	Disconnection	Connect
Capable people unable to act	Constraint	Enable
Expected results not occurring	Execution / Conversion issue	Stabilize and investigate
Same problem repeatedly returns	Structural/system condition	Investigate and redesign
Current performance maintained at excessive human cost	Depletion / capacity risk	Recover and redesign
Negative customer experience	External signal	Diagnose internal conditions
Future performance increasingly difficult to sustain	SEC weakness	Protect, adapt, renew

18. PRIORITIZATION

HEE does not assume the largest gap is the most important gap.

HEE prioritization heuristic

Priority = Urgency × Dependency × Value Impact

Where:

- **Urgency** = how immediately action is required
- **Dependency** = how strongly other conditions depend on resolving it
- **Value Impact** = potential effect on sustainable execution and business value

This is a **management heuristic, not a validated universal law.**

Prioritization principle

Fix the condition that most limits the system's ability to move forward.

19. HEE INTERVENTION LOGIC

The HEE management sequence is:

PROTECT → DIAGNOSE → RECOVER / DEVELOP / CONNECT / ENABLE / INVESTIGATE → APPLY → EXECUTE → LEARN → ADAPT → RENEW

This should not be interpreted as a rigid linear sequence.

The diagnostic responses may overlap, iterate, or operate in parallel.

Conversion sequence

```
DIAGNOSE
↓
IDENTIFY LIMITING CONDITION
↓
INTERVENE
↓
ENABLE EFFECTIVE APPLICATION
↓
EXECUTE
↓
LEARN
↓
ADAPT
↓
STRENGTHEN FUTURE CAPACITY
↓
RENEW
```

20. HEE MANAGEMENT LOGIC

HEE management can be summarized as:

Protect the capacity required for value creation, diagnose what limits its application, intervene at the limiting condition, convert capability and capacity into execution, learn from outcomes, adapt the system, and renew future capacity.

Simplest form

PROTECT → APPLY → EXECUTE → LEARN → ADAPT → RENEW

21. HEE ECONOMIC PROPOSITION

Organizational performance is not determined only by the resources or capabilities an organization possesses, but also by its ability to mobilize and convert available Human Energy, capability, and Organizational Capacity into effective application and sustained execution without unnecessarily degrading future capacity.

Therefore:

Sustainable value depends not only on what an organization produces today, but on the capacity it preserves or strengthens to produce valuable outcomes tomorrow.

22. HEE MANAGEMENT PROPOSITION

Organizations should be managed not only for output, but for the preservation and expansion of the capacity required to produce output repeatedly.

This means management should examine:

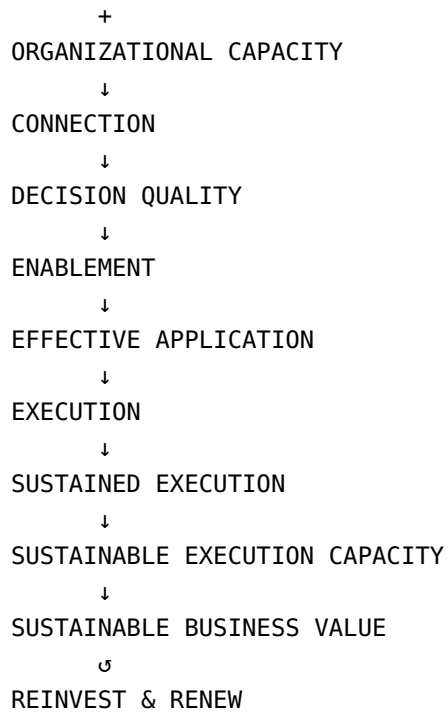
What are we producing?

and also:

What is it costing our future ability to produce?

23. THE HEE ECONOMIC FLOW

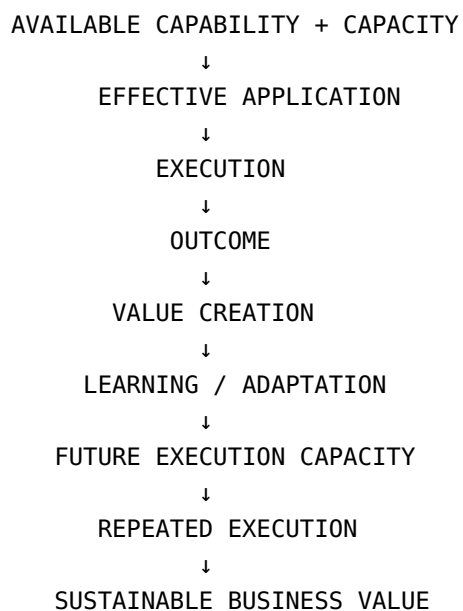
HUMAN CAPITAL
↓
CAPABILITY
+
HUMAN ENERGY



The critical economic issue is the **quality of conversion**, not merely the quantity of inputs.

24. VALUE CREATION CYCLE

HEE views value creation as a cycle rather than a one-time production event.



The organization therefore needs to protect the conditions that allow the cycle to continue.

25. HOW VALUE IS CREATED

HEE does not claim:

Capability = Value

Instead:

Capability → Application → Execution → Outcome → Value

And for sustainability:

Outcome → Learning → Adaptation → Future Capacity → Repeated Outcome → Sustainable Value

Thus:

Value is created when available capability and capacity become effective application, effective application becomes execution, execution creates intended outcomes, and the organization preserves or strengthens the capacity required to repeat the process.

26. VALUE CREATION OVER TIME

A single successful outcome does not establish sustainable execution.

HEE therefore distinguishes:

Current cycle

Capacity → Application → Execution → Outcome

from:

Long-term cycle

Capacity → Application → Execution → Outcome → Learning → Adaptation → Future Capacity → Repeated Execution

The economic test becomes:

Did the organization create value without unnecessarily weakening its ability to create value again?

This is the foundation of **Sustainable Execution Capacity**.

27. SUSTAINABLE EXECUTION CAPACITY

Definition

Sustainable Execution Capacity is the organization's future ability and readiness to continue producing intended outcomes through effective application without unnecessarily degrading the capacity required for future execution.

SEC therefore incorporates both:

Current execution

and

Future execution readiness

A strong organization is not merely one that executes.

It is one that can **continue to execute**.

28. EX / CX PERSPECTIVE

HEE connects internal organizational conditions with external experience and outcomes.

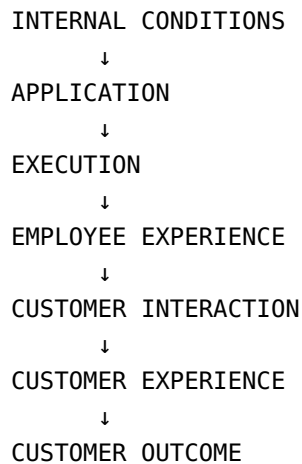
Inside-Out

Human Energy → Capability → Connection → Decision Quality → Enablement → Application → Execution → EX

Outside-In

Customer Need → Customer Experience → Customer Outcome

Bridge



This does **not** mean EX mechanically causes CX.

Rather:

Internal organizational conditions can manifest externally when they affect the organization's ability to deliver intended customer outcomes.

Similarly:

Customer experience can provide an external signal of internal conditions requiring diagnosis.

29. INTERNAL → EXTERNAL VALUE CHAIN

Internal condition	Potential capacity effect	Potential execution effect	Potential customer manifestation
Human Energy depletion	Less usable capacity	Slower or less resilient execution	Delays, inconsistency
Capability deficiency	Insufficient potential	Errors or incomplete execution	Poor resolution
Capability disconnection	Coordination capacity consumed	Handoffs and delays	Repetition, inconsistent service
Poor decision quality	Decision capacity consumed	Decision latency or poor choices	Delayed response

Internal condition	Potential capacity effect	Potential execution effect	Potential customer manifestation
Organizational constraints	Capacity blocked	Application delayed	Delivery bottlenecks
Operational Noise	Attention fragmented	Interrupted execution	Slower or inconsistent service
Rework	Capacity repeatedly consumed	Execution delayed	Errors, repeated contact
Unclear ownership	Coordination consumed	Handoffs and delays	Customer repeats information
Fragmented systems	Connection capacity consumed	Information delays	Inconsistent experience
Recurring exceptions	Intervention capacity consumed	Firefighting	Unpredictable service

These are **potential manifestations**, not universal causal relationships.

30. SLA → XLA → HEE

HEE complements service and experience management.

Lens	Primary question
SLA	Is the service performing against agreed operational/service requirements?
XLA	Is the experience working from the customer/user perspective?
HEE	What organizational capacity conditions are required to sustain both?

Relationship

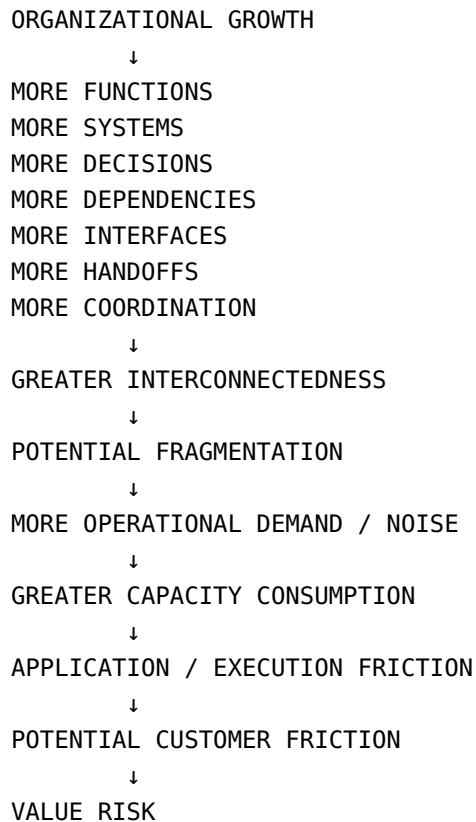
SLA → XLA → HEE

- **SLA protects service performance.**
- **XLA protects customer/user experience.**
- **HEE protects the organizational capacity required to sustain both.**

The relationship is complementary rather than hierarchical in every organizational context.

31. HEE AND ORGANIZATIONAL GROWTH

Growth can increase organizational complexity.



Growth does not inherently produce this outcome.

The risk increases when organizational connection, decision quality, enablement, and capacity do not develop sufficiently alongside complexity.

HEE growth principle

Scale capability, not complexity.

32. HEE LEADERSHIP TEST

Leaders can use five questions:

1. Capacity

What capacity do we actually have?

2. Constraint

What most limits its application?

3. Conversion

Why is available capability or capacity not becoming effective application?

4. Execution

What must change for intended execution to occur?

5. Future

Will today's execution strengthen or weaken tomorrow's capacity?

Expanded leadership test

What is the constraint?

What is the consequence?

What must change next?

What happens to future capacity if we do nothing?

33. HEE MATURITY

HEE maturity can be understood as movement from extracting current capacity toward cultivating sustainable execution capacity.

Stage	Dominant management logic
1. Extraction	Maximize immediate output
2. Stabilization	Prevent acute performance failure
3. Recovery	Restore depleted capacity
4. Enablement	Improve conditions for application
5. Integration	Connect capability, capacity, decisions, and systems
6. Sustainable Execution	Produce outcomes without unnecessary future degradation
7. Capacity Cultivation	Deliberately strengthen future execution capacity

The maturity model is conceptual rather than a validated measurement scale.

34. HEE DIFFERENTIATION

HEE is differentiated by treating organizational capacity as an economic concern rather than viewing performance solely through output, productivity, capability, or employee wellbeing.

HEE ≠ Productivity Management

Productivity asks how much output is produced from inputs.

HEE asks what determines the organization's ability to sustain valuable output without unnecessarily degrading future capacity.

HEE ≠ Human Capital Management

Human Capital focuses on capability embodied in people.

HEE asks how capability becomes available capacity, application, execution, and sustainable value.

HEE ≠ Employee Wellbeing

Wellbeing may be important, but HEE examines Human Energy as part of an organizational capacity system.

HEE ≠ Capacity Planning Alone

Capacity planning often concerns resource availability.

HEE examines the conditions that determine whether available capacity can actually become effective application.

HEE ≠ Operational Improvement

Operational improvement may optimize work.

HEE asks what limits sustainable execution capacity.

HEE ≠ Execution Management

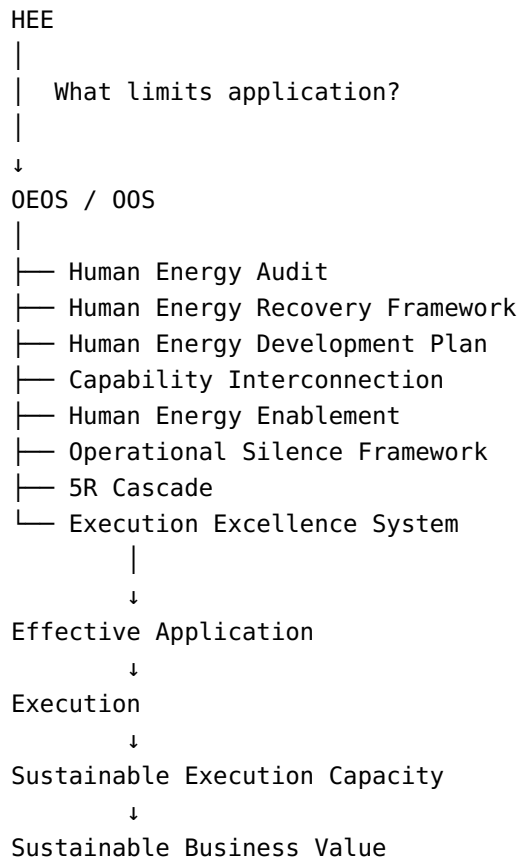
Execution management focuses on producing intended results.

HEE examines the capacity conditions required to produce those results repeatedly.

35. HEE AND ITS OPERATING MECHANISMS

HEE is the theory and economic lens.

Its operating architecture is expressed through the **Organizational Excellence Operating System (OEOS/OOS)** and its mechanisms.



Mechanism question hierarchy

HEE mechanism	Primary question
HEE	What limits application?
HERF	What is depleting Human Energy, and what is required for recovery?
OSF	What unnecessary recurring demand is consuming organizational capacity?
3C	Where can the operating system be improved, empowered, or unconstrained?
5R	Should demand be removed, reduced, replaced, re-engineered, or retained?
HEEn	What organizational conditions prevent effective application?

HEE mechanism Primary question

EES What execution constraint is preventing intended results?

This preserves the distinction:

HEE changes the lens. Mechanisms operationalize the lens.

36. HEE IN ITS SIMPLEST FORM

```
WHAT DO WE HAVE?  
  ↓  
CAPABILITY + CAPACITY  
  ↓  
WHAT LIMITS APPLICATION?  
  ↓  
DIAGNOSE  
  ↓  
RECOVER / DEVELOP / CONNECT / ENABLE / INVESTIGATE  
  ↓  
APPLY  
  ↓  
EXECUTE  
  ↓  
LEARN  
  ↓  
ADAPT  
  ↓  
RENEW  
  ↓  
STRONGER SUSTAINABLE EXECUTION CAPACITY  
  ↓  
SUSTAINABLE BUSINESS VALUE
```

Or, in one line:

**Protect capacity → Diagnose constraints → Enable application → Execute → Learn →
Adapt → Renew.**

37. CLOSING PRINCIPLE

Organizations should not be managed only for what they can produce today. They should be managed for their ability to continue producing valuable outcomes tomorrow.

HEE therefore asks leaders to look beyond output.

Beyond activity.

Beyond capability.

Beyond utilization.

Beyond short-term efficiency.

Beyond isolated performance.

And ask:

What determines our ability to convert the capacity we have into effective application, sustained execution, and lasting value?

The ultimate management objective is not maximum extraction.

It is **sustainable conversion**.

```
graph TD; A[HUMAN ENERGY] -- x --> B[CAPABILITY]; B -- x --> C[CONNECTION]; C -- x --> D[DECISION QUALITY]; D -- x --> E[ENABLEMENT]; E --> F[EFFECTIVE APPLICATION]; F --> G[EXECUTION]; G --> H[SUSTAINED EXECUTION CAPACITY]; H --> I[SUSTAINABLE BUSINESS VALUE];
```

HUMAN ENERGY
×
CAPABILITY
×
CONNECTION
×
DECISION QUALITY
×
ENABLEMENT
↓
EFFECTIVE APPLICATION
↓
EXECUTION
↓
SUSTAINED EXECUTION CAPACITY
↓
SUSTAINABLE BUSINESS VALUE

The HEE principle

Extraction depletes. Cultivation compounds.

The HEE ambition

Better execution today. Stronger capacity tomorrow.

The HEE objective

Sustained value creation without self-consumption.

The final question

Are we merely producing today's results — or are we strengthening our capacity to produce tomorrow's?